OSI Systems

Improving Cash Collection, but FY27 Sales, Margin Forecasts Below Expectations, with Acceleration Expected Beyond

Neutral

OSIS, OSIS US
Price (28 Aug 26):$206.64

▼ **Price Target (Dec-27):$250.00**
Prior (Dec-26):$270.00

OSI's initial FY27 outlook seems reasonable in our view, with revenue growth expected to accelerate through the year as delayed Middle East deliveries convert in 2H and the remaining Mexico headwind rolls off. Strong services growth and RF demand should support the near-term outlook, while recent CBP awards and Golden Dome-related opportunities provide better visibility into accelerating growth in FY28 and FY29. Although the growing mix of higher-margin services should lift Security margins over time, the initial EPS guide appears conservative and positions FY27 as a margin reset ahead of greater expansion beyond the year. Meanwhile, continued Mexico collections should drive another strong cash year, likely with a 1H tilt. We are establishing our Dec-27 PT of $250 (prior Dec-26 PT of $270) which is based on 18x our CY28E EPS of $13.80.

- **Sales growth should accelerate through FY27, with several moving pieces.** OSI guided to FY27 revenue of $1.875-$1.930bn, or 5%-8% growth, with a stronger 2H as roughly 60%, or ~$30mn, of the $50mn in delayed Middle East deliveries converts in F3Q/F4Q27 and the remaining ~$20mn shifts into FY28, while the ~$25mn Mexico headwind concentrates in 1H. Notably, Middle East revenue still increased to ~$75mn in FY26 from ~$50mn in FY25 despite the pushout, highlighting solid underlying momentum and additional runway once the conflict ends. Strong double-digit services growth and RF momentum, including over-the-horizon radar for Golden Dome, should partly offset the near-term Mexico and Middle East headwinds, while recent CBP and RF awards position growth to accelerate further in FY28 and FY29.
- **Services support margins, but the initial outlook implies only modest expansion.** A growing mix of higher-margin services should lift Security margins through FY27 as Mexico systems exit warranty and enter service contracts, while OSI's broader installed base drives recurring revenue growth. Lower Mexico product revenue creates a mix headwind, but services should more than offset that pressure over time, and Opto should pair revenue growth with further margin expansion. Still, the FY27 EPS guide of $11.13-$11.49 implies limited underlying margin expansion after considering buybacks, with management attributing the restrained outlook to conservatism and incremental growth investments. We view FY27 as a reasonable margin reset, with more meaningful expansion likely in FY28 and beyond as services scale.
- **Mexico collections should sustain >100% FCF conversion this FY, with a likely 1H tilt.** OSI expects FY27 FCF to exceed 100% of net income as it collects the remaining Mexico receivables. The Mexico balance declined from $345mn at F3Q-end to $190mn at FY26-end after $159mn of F4Q collections, and management expects additional payments throughout FY27. While exact timing remains difficult to predict, management hopes collections skew toward the front half, creating stronger 1H cash generation even as revenue growth accelerates in 2H.

Aerospace & Defense

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Key Changes (FYE Jun)

	Prev	Cur	Δ
Adj. EPS - 27E ($)	11.10	11.77	6.0%
Adj. EPS - 28E ($)	12.55	13.26	5.6%

Quarterly Forecasts (FYE Jun)

Adj. EPS ($)

	2026A	2027E	2028E
Q1	1.42	1.71	
Q2	2.58	2.90	
Q3	2.60	3.10	
Q4	3.78	4.11	
FY	11.18	11.77	13.26

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	34	56	43	27	20
Growth	9	5	4	31	81
Momentum	71	39	33	32	36
Quality	60	53	36	55	48
Low Vol	17	23	17	5	10
ESGQ	83	90	90	100	15

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 5 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	-19.0%	-6.4%	-6.6%	-9.8%
Rel	-31.9%	-10.4%	-8.8%	-28.7%

Company Data

Shares O/S (mn)	17
52-week range ($)	311.72-186.50
Market cap ($ mn)	3,523.21
Exchange rate	1.00
Free float (%)	94.5%
3M ADV (mn)	0.25
3M ADV ($ mn)	53.7
Volatility (90 Day)	49
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	6|1|0

Key Metrics (FYE Jun)

$ in millions	FY26A	FY27E	FY28E
Financial Estimates			
Revenue	1,786	1,901	2,017
Adj. EBIT	253	267	291
Adj. EBITDA	278	284	313
Adj. net income	193	191	210
Adj. EPS	11.18	11.77	13.26
BBG EPS	10.42	11.36	12.87
Cashflow from operations	242	329	140
FCFF	217	289	92
Margins and Growth			
Revenue Growth Y/Y (%)	4.3%	6.4%	6.1%
EBIT margin	14.2%	14.0%	14.4%
EBIT Growth Y/Y (%)	5.2%	5.2%	9.1%
EBITDA margin	15.6%	15.0%	15.5%
EBITDA Growth Y/Y (%)	4.5%	2.2%	9.9%
Net margin	10.8%	10.1%	10.4%
Adj. EPS growth	19.4%	5.3%	12.6%
Ratios			
Adj. tax rate	16.8%	21.9%	22.4%
Interest cover	10.6	17.6	19.6
Net debt/Equity	0.8	0.4	0.5
Net debt/EBITDA	2.3	1.5	1.7
ROE	21.7%	21.1%	21.0%
Valuation			
FCFF yield	6.1%	8.6%	2.8%
Dividend yield	-	-	-
EV/Revenue	2.3	2.1	2.0
EV/EBITDA	15.0	13.8	12.9
Adj. P/E	18.5	17.6	15.6

Summary Investment Thesis and Valuation

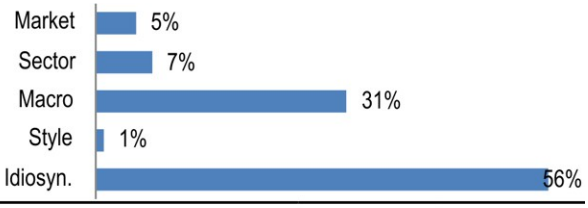
Investment Thesis

OSI is well positioned in its core Security market as the leader in Cargo and Vehicle scanning systems with >50% market share and an opportunity to take share in Aviation Security. The Security segment is the key driver of value at OSI, in our view, and we are interested to see how quickly the company can grow its service component and how the competitive landscape evolves, with a key competitor, Smiths, in transition to becoming independent. We think OSI's valuation already captures a portion of the expected Security growth, and we therefore rate the stock Neutral.

Valuation

Our Dec-27 price target of $250 is based on ~18x our CY27E EPS of $13.90. This represents just a slight premium to the average (and median) multiple of 17x over the past decade. The multiple had expanded to 25x at times during the second half of the last decade, prior to the pandemic, but it rarely remained at that level for long, making us a bit more reluctant to use it as a baseline.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.20	0.34
Sect: Technology	-0.38	-0.29
Ind: Tech Hard Equip	-0.14	-0.12
Macro:		
Economic Surprise	-0.63	-0.50
Crude Oil	-0.23	-0.22
US 10yr Breakeven	-0.28	-0.21
Quant Styles:		
Growth	-0.15	-0.10
Value	0.19	0.10
Size	-0.10	-0.08

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

OSI Systems *(Neutral; Price Target: $250.00)*

Investment Thesis
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Risks to Rating and Price Target
Upside risks include stronger order momentum than expected and OSI taking additional share from peersm as border security is a key tenet of the Trump administration's goals. Mix could also drive additional margin expansion if OSI continues to win int'l contracts that carry a higher margin. Downside risks include uncertainty around timing for awards and cash flow, as procurement processes remain complex and int'l buyers' cash payment timing is more uncertain than the US gov't.

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OSI Systems: Summary of Financials

Income Statement - Annual	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue	**1,713**	**1,786**	**1,901**	**2,017**	**-**
Operating expenses	-	-	-	-	-
Adj. EBITDA	**266**	**278**	**284**	**313**	**-**
D&A	(44)	(38)	(35)	(34)	-
Adj. EBIT	**241**	**253**	**267**	**291**	**-**
Net Interest	(31)	(26)	(16)	(16)	-
Adj. PBT	**209**	**227**	**250**	**275**	**-**
Tax	(36)	(38)	(55)	(62)	-
Minority Interest	0	0	0	0	-
Adj. Net Income	**161**	**193**	**191**	**210**	**-**
Net Income - GAAP	150	155	179	201	-
Reported EPS	8.71	8.95	10.98	12.66	-
Adj. EPS	**9.36**	**11.18**	**11.77**	**13.26**	**-**
DPS	**-**	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-	-
Shares outstanding	17	17	16	16	-

Income Statement - Quarterly	1Q27E	2Q27E	3Q27E	4Q27E
Revenue	**398**	**479**	**491**	**532**
Operating expenses	-	-	-	-
Adj. EBITDA	**45**	**70**	**74**	**95**
D&A	(9)	(9)	(9)	(9)
Adj. EBIT	**41**	**66**	**70**	**91**
Net Interest	(4)	(4)	(4)	(4)
Adj. PBT	**37**	**62**	**66**	**87**
Tax	(8)	(14)	(14)	(19)
Minority Interest	0	0	0	0
Adj. Net Income	**28**	**47**	**50**	**66**
Net Income - GAAP	25	44	47	63
Reported EPS	1.52	2.70	2.90	3.91
Adj. EPS	**1.71**	**2.90**	**3.10**	**4.11**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	16	16	16	16

Balance Sheet & Cash Flow Statement	FY25A	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	106	360	580	465	-
Accounts receivable	838	765	857	912	-
Inventories	407	416	512	553	-
Other current assets	72	72	72	91	-
Current assets	**1,423**	**1,612**	**2,021**	**2,021**	**-**
PP&E	127	130	135	291	-
LT investments	-	-	-	-	-
Other non current assets	692	761	761	599	-
Total assets	**2,241**	**2,502**	**2,917**	**2,911**	**-**
Short term borrowings	186	3	3	3	-
Payables	205	169	402	383	-
Other short term liabilities	306	340	377	362	-
Current liabilities	**697**	**511**	**782**	**747**	**-**
Long-term debt	464	999	991	984	-
Other long term liabilities	130	160	160	160	-
Total liabilities	**1,290**	**1,669**	**1,933**	**1,890**	**-**
Shareholders' equity	951	833	984	1,021	-
Minority interests	-	-	-	-	-
Total liabilities & equity	**2,241**	**2,502**	**2,917**	**2,911**	**-**
BVPS	**56.64**	**51.33**	**62.63**	**67.05**	**-**
y/y Growth	*11.8%*	*(9.4%)*	*22.0%*	*7.1%*	-
Net debt/(cash)	543	641	413	521	-
Cash flow from operating activities	**98**	**242**	**329**	**140**	**-**
o/w Depreciation & amortization	44	38	35	34	-
o/w Changes in working capital	(120)	15	82	(131)	-
Cash flow from investing activities	**(118)**	**(38)**	**(40)**	**(48)**	**-**
o/w Capital expenditure	(24)	(25)	(40)	(48)	-
as % of sales	*1.4%*	*1.4%*	*2.1%*	*2.4%*	-
Cash flow from financing activities	**31**	**149**	**(168)**	**(208)**	**-**
o/w Dividends paid	-	-	-	-	-
o/w Share issue/(buyback)	(80)	(147)	(160)	(200)	-
o/w Net debt issued/(repaid)	126	326	(8)	(8)	-
Net change in cash	**11**	**352**	**122**	**(115)**	**-**
Adj. Free cash flow to firm	**74**	**217**	**289**	**92**	**-**
y/y Growth	*(158.3%)*	*194.8%*	*33.0%*	*(68.2%)*	-

Ratio Analysis	FY25A	FY26A	FY27E	FY28E	FY29E
EBITDA margin	15.6%	15.6%	15.0%	15.5%	-
EBIT margin	14.1%	14.2%	14.0%	14.4%	-
Net profit margin	9.4%	10.8%	10.1%	10.4%	-
ROE	17.7%	21.7%	21.1%	21.0%	-
ROA	7.7%	8.1%	7.1%	7.2%	-
ROCE	13.3%	12.3%	10.9%	11.3%	-
Net debt/equity	0.6	0.8	0.4	0.5	-
P/E (x)	22.1	18.5	17.6	15.6	-
P/BV (x)	3.6	4.0	3.3	3.1	-
EV/EBITDA (x)	15.3	15.0	13.8	12.9	-
Dividend Yield	-	-	-	-	-
Sales/Assets (x)	0.8	0.8	0.7	0.7	-
Interest cover (x)	8.5	10.6	17.6	19.6	-
Operating leverage	119.1%	121.5%	81.4%	148.4%	-
Revenue y/y Growth	11.3%	4.3%	6.4%	6.1%	-
EBITDA y/y Growth	12.1%	4.5%	2.2%	9.9%	-
Tax rate	17.4%	16.8%	21.9%	22.4%	-
Adj. Net Income y/y Growth	13.9%	20.1%	(0.9%)	9.7%	-
EPS y/y Growth	15.1%	19.4%	5.3%	12.6%	-
DPS y/y Growth	-	-	-	-	-
Free cashflow / share	4.29	12.58	17.77	5.81	-
P/FCF (x)	48.1	16.4	11.6	35.6	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Jun. o/w - out of which

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OSI Systems (OSIS, OSIS US) Price Chart



Date	Rating	Price ($)	Price Target ($)
21-Feb-25	N	214.37	225
26-Aug-25	N	225.19	242
02-Nov-25	N	278.46	255
30-Jan-26	N	269.74	262
05-May-26	N	282.87	270

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 21, 2025. All share prices are as of market close on the previous business day.

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IB clients**	95%	92%	87%

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